

PONDICHERRY UNIVERSITY
RAMANUJAN SCHOOL OF MATHEMATICAL SCIENCES
DEPARTMENT OF STATISTICS



M.Sc. QUANTITATIVE FINANCE
MSQF 532: Financial Mathematics
LECTURE NOTES ON
Financial Mathematics

PREPARED BY
NAME: N Rohit Vedhanandh
REG. NO.: 25MSQUFPY0002

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Course Objectives:

- To equip students with a solid understanding of fundamental mathematical concepts and techniques used in financial analysis, valuation of financial instruments, and portfolio management.
- To develop the ability to apply quantitative methods for solving practical problems in finance, including risk assessment, derivatives pricing, and financial decision-making.

Course Outcomes (COs):

CO1: Apply financial mathematics to evaluate investments and corporate finance decisions

CO2: Use quantitative tools for bond, equity, and portfolio valuation

CO3: Analyze risk and return to support financial strategy

CO4: Interpret and construct financial statements for cash flow management

CO5: Apply mathematical models to real-world financial problems

Unit I: Introduction to Financial Mathematics

Role and importance of mathematics in finance — Time value of money concepts — Simple interest and compound interest — Nominal and effective rates — Discounting and present value — Basic annuities: ordinary annuities, annuities due — Growth and decay curves.

Unit II: Valuation of Financial Instruments

Present value and future value of annuities — Perpetuities and growing annuities — Loan amortization and sinking funds — Bond valuation: yield to maturity (YTM), yield to call (YTC) — Equity valuation: dividend discount model (DDDM), price-earnings model.

Unit III: Financial Ratios and Cash Flow Analysis

Key financial ratios: liquidity, profitability, leverage, efficiency — Application of ratios in decision making — Cash flow statements: operating, investing, and financing cash flows — Free cash flow analysis — Break-even and sensitivity analysis.

Unit IV: Risk, Return, and Portfolio Mathematics

Measurement of return: arithmetic vs geometric mean — Standard deviation and variance of returns — Coefficient of variation — Covariance and correlation — Portfolio return and risk — Diversification and optimal portfolio construction — Capital Asset Pricing Model (CAPM).

Unit V: Advanced Topics and Applications

Linear programming in financial decision-making — Introduction to financial derivatives (options, forwards, futures) — Option valuation basics: Binomial and Black-Scholes models — Duration and convexity of bonds — Probability distributions in finance: normal, log-normal — Simulation and scenario analysis in financial planning.

Books for Reference:

1. Bodie, Z., Kane, A., & Marcus, A. J. (2022). *Investments* (12th ed.). McGraw-Hill Education.
2. Tuckman, B., & Serrat, A. (2023). *Fixed Income Securities: Tools for Today's Markets* (4th ed.). Wiley.
3. Fabozzi, F. J. (2023). *Financial Mathematics: A Comprehensive Treatment* (2nd ed.). Wiley.
4. Hull, J. C. (2024). *Options, Futures, and Other Derivatives* (11th ed.). Pearson.
5. Ross, S. A., Westerfield, R. W., Jaffe, J., & Jordan, B. D. (2022). *Corporate Finance* (13th ed.). McGraw-Hill Education.

COs	PO1	PO2	PO3	PO4	PO5
CO1	XXX	XXX	XXX	XX	XX
CO2	XXX	XXX	XXX	XX	XX
CO3	XXX	XX	XXX	XXX	XX
CO4	XX	XX	XX	XXX	XX
CO5	XXX	XXX	XXX	XX	XXX

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Chapter 1

Introduction to Financial Mathematics

1.1 Time Value of Money & Simple Interest Fundamentals

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Definition 1.1.1: Simple Interest & Accrued Amount

Let P represent the initial **Principal** invested or borrowed, R the **nominal annual rate of interest** expressed as a percentage ($R\%$ per annum), and T the **time horizon** expressed in years.

The **Simple Interest** (SI) generated is linear in time and principal:

$$SI = \frac{P \times R \times T}{100} = P \cdot r \cdot T \quad (1.1)$$

where $r = \frac{R}{100}$ is the effective decimal interest rate per year.

The **Total Accrued Amount** (A or FV) at the end of duration T is given by:

$$A = P + SI = P(1 + rT) \quad (1.2)$$

Time Conversion Rules for Fractional Periods

When the time period is given in units other than full years:

- **Days to Years (Exact Year):** $T = \frac{\text{Number of Days}}{365}$
- **Weeks to Years:** $T = \frac{\text{Number of Weeks}}{52}$
- **Months to Years:** $T = \frac{\text{Number of Months}}{12}$

Additivity of Simple Interest

Under simple interest, the interest earned in each period depends only on the original principal P and not on previously accrued interest (i.e., interest does not compound). Consequently, over multiple disjoint consecutive time periods $[0, t_1], [t_1, t_2], \dots, [t_{k-1}, t_k]$ with respective rates $R_1, R_2, \dots, R_k$, the total simple interest is strictly additive:

$$SI_{\text{total}} = \sum_{j=1}^k \frac{P \times R_j \times \Delta t_j}{100} \quad (1.3)$$

Example 1.1.1: Basic Simple Interest and Total Amount**Problem:**

Find the simple interest and the total amount to be paid on a principal sum of Rs. 15,000 at an interest rate of 5% per annum after 2 years.

Given Data:

- Principal (P) = Rs. 15,000
- Rate (R) = 5% per annum
- Time (T) = 2 years

Step-by-Step Calculation:**1. Simple Interest (SI):**

$$SI = \frac{P \times R \times T}{100} = \frac{15,000 \times 5 \times 2}{100} = \text{Rs. } 1,500$$

2. Total Amount (A):

$$A = P + SI = 15,000 + 1,500 = \text{Rs. } 16,500$$

Final Result:

$$SI = \text{Rs. } 1,500, \quad A = \text{Rs. } 16,500$$

Example 1.1.2: Fractional Period in Days (Exact Day Count)**Problem:**

Find the simple interest and accumulated amount on a principal of Rs. 25,000 at an annual rate of 5% for a duration of 219 days.

Given Data:

- Principal (P) = Rs. 25,000
- Rate (R) = 5% p.a.
- Time (T) = 219 days = $\frac{219}{365}$ years = 0.6 years

Calculation:

$$SI = \frac{P \times R \times T}{100} = \frac{25,000 \times 5 \times \frac{219}{365}}{100} = \frac{25,000 \times 5 \times 0.6}{100} = \text{Rs. } 750$$

Total Amount:

$$A = P + SI = 25,000 + 750 = \text{Rs. } 25,750$$

Final Result:

$$SI = \text{Rs. } 750, \quad A = \text{Rs. } 25,750$$

Example 1.1.3: Fractional Period in Weeks**Problem:**

Find the simple interest and accumulated amount on a principal of Rs. 25,000 at an annual rate of 5% for a period of 20 weeks.

Given Data:

- Principal (P) = Rs. 25,000
- Rate (R) = 5% p.a.
- Time (T) = 20 weeks = $\frac{20}{52}$ years = $\frac{5}{13}$ years

Calculation:

$$SI = \frac{P \times R \times T}{100} = \frac{25,000 \times 5 \times \frac{20}{52}}{100} = \frac{1,250 \times 20}{52} \approx \text{Rs. } 480.77$$

Total Amount:

$$A = P + SI = 25,000 + 480.77 = \text{Rs. } 25,480.77$$

Final Result:

$$SI = \text{Rs. } 480.77, \quad A = \text{Rs. } 25,480.77$$

Example 1.1.4: Year-by-Year Multi-Period Breakdown**Problem:**

A principal amount of Rs. 1,00,000 is invested at a rate of 10% simple interest per annum for 3 years. Calculate the simple interest generated individually for the 1st year, 2nd year, and 3rd year, and compute the total accrued amount.

Given Data:

- Principal (P) = Rs. 1,00,000
- Rate (R) = 10% p.a.
- Total Horizon (T) = 3 years

Year-Wise Computation: Because simple interest is non-compounding, the interest generated in any single 1-year increment ($\Delta t = 1$) remains invariant:

$$\text{Year 1: } SI_1 = \frac{1,00,000 \times 10 \times 1}{100} = \text{Rs. } 10,000$$

$$\text{Year 2: } SI_2 = \frac{1,00,000 \times 10 \times 1}{100} = \text{Rs. } 10,000$$

$$\text{Year 3: } SI_3 = \frac{1,00,000 \times 10 \times 1}{100} = \text{Rs. } 10,000$$

Aggregate Interest and Terminal Amount:

$$SI_{\text{total}} = SI_1 + SI_2 + SI_3 = 10,000 + 10,000 + 10,000 = \text{Rs. } 30,000$$

$$A = P + SI_{\text{total}} = 1,00,000 + 30,000 = \text{Rs. } 1,30,000$$

Final Summary Table:

Period	Principal (Rs.)	Interest (Rs.)	Accrued Amount (Rs.)
Year 1	1,00,000	10,000	1,10,000
Year 2	1,00,000	10,000	1,20,000
Year 3	1,00,000	10,000	1,30,000
Total	—	30,000	1,30,000

Example 1.1.5: Inverse Problem: Tiered Rate Schedule

Problem:

A total simple interest of Rs. 2,500 is earned by investing an unknown sum of money (P) for a total duration of 13 years under a tiered rate structure:

- 4% p.a. for the first 3 years
- 5% p.a. for the next 4 years
- 8% p.a. for the remaining period beyond 7 years

Determine the initial principal sum invested.

Interval Breakdown: Let P denote the unknown principal sum. The total horizon of $T = 13$ years is decomposed into:

1. **Interval 1:** $T_1 = 3$ years, $R_1 = 4\%$

$$SI_1 = \frac{P \times 4 \times 3}{100} = 0.12 P$$

2. **Interval 2:** $T_2 = 4$ years, $R_2 = 5\%$

$$SI_2 = \frac{P \times 5 \times 4}{100} = 0.20 P$$

3. **Interval 3:** $T_3 = 13 - (3 + 4) = 6$ years, $R_3 = 8\%$

$$SI_3 = \frac{P \times 8 \times 6}{100} = 0.48 P$$

Linear Formulation and Algebraic Solution: The cumulative interest satisfies:

$$\begin{aligned} SI_{\text{total}} &= SI_1 + SI_2 + SI_3 \\ 2,500 &= 0.12 P + 0.20 P + 0.48 P \\ 2,500 &= 0.80 P \\ \Rightarrow P &= \frac{2,500}{0.80} = \text{Rs. } \mathbf{3,125} \end{aligned}$$

Final Result: The initial principal sum invested is Rs. **3,125**.

1.2 Theory of Compound Interest & Growth/Decay Models

Definition 1.2.1: Compound Interest & Terminal Value

Under **Compound Interest**, interest accrued at the end of each compounding period is added to the principal to form the new principal base for subsequent periods (interest on interest).

For a principal P invested at a nominal annual interest rate of $R\%$ ($r = R/100$) for n years compounded annually, the terminal accumulated amount (A or FV) is:

$$A = P \left(1 + \frac{R}{100}\right)^n = P(1 + r)^n \quad (1.4)$$

The total **Compound Interest** (CI) generated over the horizon is:

$$CI = A - P = P \left[\left(1 + \frac{R}{100}\right)^n - 1 \right] = P [(1 + r)^n - 1] \quad (1.5)$$

Exponential Growth and Decay / Depreciation Curves

- **Compound Growth / Appreciation:** If a quantity grows at constant annual percentage rate $r = R/100$:

$$A(n) = P(1 + r)^n \quad (1.6)$$

- **Compound Decay / Reducing Balance Depreciation:** If an asset or demographic metric depreciates at annual rate $d = R/100$:

$$A(n) = P(1 - d)^n \quad (1.7)$$

The **Compound Depreciation** (total value reduction) over n periods is:

$$\text{Total Depreciation} = P - A(n) = P [1 - (1 - d)^n] \quad (1.8)$$

- **Varying Multi-Year Growth/Decay Factors:** For sequential periods with rates $r_1, r_2, \dots, r_k$:

$$A_k = P \cdot (1 \pm r_1)(1 \pm r_2) \cdots (1 \pm r_k) \quad (1.9)$$

Example 1.2.1: Annual Compounding of Interest

Problem:

Find the compound interest (CI) on a principal sum of Rs. 12,600 for 2 years at an annual interest rate of 10%, compounded annually.

Given Data:

- Principal (P) = Rs. 12,600
- Rate (R) = 10% per annum
- Horizon (n) = 2 years (compounded annually)

Step-by-Step Calculation:

1. Terminal Accumulated Amount (A):

$$\begin{aligned} A &= P \left(1 + \frac{R}{100}\right)^n \\ A &= 12,600 \left(1 + \frac{10}{100}\right)^2 = 12,600(1.10)^2 \\ A &= 12,600 \times 1.21 = \text{Rs. } 15,246 \end{aligned}$$

2. Compound Interest (CI):

$$CI = A - P$$

$$CI = 15,246 - 12,600 = \text{Rs. } 2,646$$

Final Result:

$$\text{Accumulated Amount } A = \text{Rs. } \mathbf{15,246}, \quad CI = \text{Rs. } \mathbf{2,646}$$

Example 1.2.2: Compound Depreciation of an Asset (Reducing Balance)**Problem:**

A television set was purchased for Rs. 21,100. The asset depreciates in market value at a constant rate of 5% per annum. Determine the residual book value of the TV after 3 years and compute the total compound depreciation incurred.

Given Data:

- Initial Purchase Value (P) = Rs. 21,100
- Annual Rate of Depreciation (d) = 5% per annum
- Horizon (n) = 3 years

Calculation:**1. Residual Value after 3 Years (A):**

$$A = P \left(1 - \frac{d}{100} \right)^n$$

$$A = 21,100 \left(1 - \frac{5}{100} \right)^3 = 21,100(0.95)^3$$

$$A = 21,100 \times 0.857375 = \text{Rs. } 18,091.6125 \approx \text{Rs. } 18,091.61$$

2. Total Compound Depreciation:

$$\text{Total Depreciation} = P - A$$

$$= 21,100 - 18,091.61 = \text{Rs. } 3,008.39$$

Final Result:

$$\text{Residual Value after 3 Years} = \text{Rs. } \mathbf{18,091.61}, \quad \text{Compound Depreciation} = \text{Rs. } \mathbf{3,008.39}$$

Example 1.2.3: Sub-Annual Compounding: Semi-Annual Conversion**Problem:**

Find the compound interest and accumulated amount on a principal of Rs. 48,000 for 1 year at an annual nominal rate of 8%, compounded half-yearly.

Given Data:

- Principal (P) = Rs. 48,000

- Nominal Annual Rate (R) = 8% p.a.
- Horizon (n) = 1 year
- Compounding Frequency (m) = 2 periods per year (half-yearly)

Parameter Conversions:

- Periodic Interest Rate: $i_{\text{periodic}} = \frac{R}{m} = \frac{8\%}{2} = 4\% = 0.04$
- Total Compounding Cycles: $N = n \times m = 1 \times 2 = 2$ periods

Calculation:**1. Accumulated Terminal Amount (A):**

$$A = P \left(1 + \frac{R/m}{100} \right)^{n \cdot m}$$

$$A = 48,000 \left(1 + \frac{4}{100} \right)^2 = 48,000(1.04)^2$$

$$A = 48,000 \times 1.0816 = \text{Rs. } 51,916.80$$

2. Compound Interest (CI):

$$CI = A - P$$

$$CI = 51,916.80 - 48,000 = \text{Rs. } 3,916.80$$

Final Result:

Terminal Amount $A = \text{Rs. } 51,916.80$, CI = Rs. 3,916.80

Example 1.2.4: Demographic Modeling: Inverse Tiered Population Decay**Problem:**

The population of a town decreases every year due to migration, economic shifts, and unemployment. The present population is 6,31,680. The rate of migration was 4% during the past year and 6% during the year preceding that. Determine what the population was 2 years ago.

Given Data:

- Current Population (A_2) = 6,31,680
- Rate of reduction in Year 1 (two years ago, d_1) = 6%
- Rate of reduction in Year 2 (last year, d_2) = 4%
- Let the initial population 2 years ago = P

Algebraic Formulation & Solution: Applying sequential geometric reduction factors:

$$P \times \left(1 - \frac{d_1}{100} \right) \times \left(1 - \frac{d_2}{100} \right) = A_2$$

$$P \times \left(1 - \frac{6}{100} \right) \times \left(1 - \frac{4}{100} \right) = 6,31,680$$

$$P \times 0.94 \times 0.96 = 6,31,680$$

$$P \times 0.9024 = 6,31,680$$

Solving for initial population P :

$$P = \frac{6,31,680}{0.9024} = 7,00,000$$

Final Result: The town population 2 years ago was **7,00,000**.

1.3 Methods of Analysis

There are two primary methods of financial time-value analysis:

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1. **Compounding**
2. **Discounting**

1.3.1 Compounding

Compounding over Single and Multiple Conversion Periods

a. Compounding of Interest over n Years

$$\text{Future Value (FV)} = P(1 + R)^n \quad (1.10)$$

where:

- P = Principal amount
- R = Annual rate of interest (in decimal $r = R/100$)
- n = Number of years

b. Multiple Compounding Periods

$$\text{Future Value (FV)} = P \left(1 + \frac{R}{m} \right)^{n \cdot m} \quad (1.11)$$

where:

- P = Principal amount
- R = Nominal annual rate of interest
- n = Number of years
- m = Frequency of compounding per annum
- $n \cdot m$ = Total number of conversion periods
- $\frac{R}{m}$ = Periodic interest rate per conversion period

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Example 1.3.1: Multi-Frequency Compounding Comparison

Problem: Calculate the maturity amount if Rs. 2,00,000 is invested for 2 years at a nominal interest rate of 12% per annum compounded: (a) Annually (b) Semi-annually (c) Quarterly (d) Monthly

Given Data:

- Principal (P) = Rs. 2,00,000
- Nominal Rate (r) = 12% p.a. = 0.12
- Time Horizon (t) = 2 years

General Compounding Formula:

$$A = P \left(1 + \frac{r}{m} \right)^{m \cdot t}$$

Detailed Step-by-Step Calculations:

1. Compounded Annually ($m = 1$):

$$\begin{aligned} A &= 2,00,000 \times \left(1 + \frac{0.12}{1} \right)^{1 \times 2} = 2,00,000 \times (1.12)^2 \\ &= 2,00,000 \times 1.2544 = \text{Rs. } \mathbf{2,50,880.00} \end{aligned}$$

2. Compounded Semi-Annually ($m = 2$):

$$\begin{aligned} A &= 2,00,000 \times \left(1 + \frac{0.12}{2} \right)^{2 \times 2} = 2,00,000 \times (1.06)^4 \\ &= 2,00,000 \times 1.26247696 = \text{Rs. } \mathbf{2,52,495.39} \end{aligned}$$

3. Compounded Quarterly ($m = 4$):

$$\begin{aligned} A &= 2,00,000 \times \left(1 + \frac{0.12}{4} \right)^{4 \times 2} = 2,00,000 \times (1.03)^8 \\ &= 2,00,000 \times 1.26677008 = \text{Rs. } \mathbf{2,53,354.02} \end{aligned}$$

4. Compounded Monthly ($m = 12$):

$$\begin{aligned} A &= 2,00,000 \times \left(1 + \frac{0.12}{12} \right)^{12 \times 2} = 2,00,000 \times (1.01)^{24} \\ &= 2,00,000 \times 1.26973465 = \text{Rs. } \mathbf{2,53,946.93} \end{aligned}$$

Summary Comparison Table:

Frequency	Periods (m)	Periodic Rate (r/m)	Cycles ($m \cdot t$)	Maturity Amount (A)
Annually	1	12.00%	2	Rs. 2,50,880.00
Semi-annually	2	6.00%	4	Rs. 2,52,495.39
Quarterly	4	3.00%	8	Rs. 2,53,354.02
Monthly	12	1.00%	24	Rs. 2,53,946.93

Effective Rate of Interest (ERI)

c. Effective Rate of Interest (ERI) Annually compounded rate of interest that is equivalent to an annual interest rate compounded more than once per year:

$$\text{ERI} = \left(1 + \frac{R}{m} \right)^m - 1 \quad (1.12)$$

where:

- ERI = Effective rate of interest
- R = Nominal rate of interest
- m = Frequency of compounding per year

Doubling Period Formulations

d. Doubling Period

[Lecture: 18/08/2026]

The **Doubling Period** is the time required for an investment to double its principal amount at a given rate of interest.

- **Continuous Compounding Basis:** Based on the natural logarithm of 2:

$$\ln(2) \approx 0.693 \quad (69.3\%) \quad (1.13)$$

- **Rule of 72 (Standard Practical Thumb Rule):**

$$\text{Doubling Period} = \frac{72}{\text{Rate of Interest } (R)} \quad (1.14)$$

$$\text{Rate of Interest } (R) = \frac{72}{\text{Doubling Period}} \quad (1.15)$$

- **Rule of 69 (Refined Discrete Compounding Approximation):**

$$\text{Doubling Period} = 0.35 + \frac{69}{R} \quad (1.16)$$

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Example 1.3.2: Determination of Interest Rate using Rule of 72

Problem: Calculate the rate of interest if the doubling period of an investment is: (a) 4 years (b) 6 years

Formula:

$$\text{Rate of Interest } (R) = \frac{72}{\text{Doubling Period}}$$

Calculations:

1. For a doubling period of 4 years:

$$R = \frac{72}{4} = 18\% \text{ p.a.}$$

2. For a doubling period of 6 years:

$$R = \frac{72}{6} = 12\% \text{ p.a.}$$

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Example 1.3.3: Determination of Doubling Period using Rule of 69

Problem: Calculate the doubling period using the Rule of 69 if the annual rate of interest is: (a) 6% (b) 9% (c) 12%

Formula:

$$\text{Doubling Period} = 0.35 + \frac{69}{R}$$

Calculations:

1. If interest rate is $R = 6\%$:

$$\text{Doubling Period} = 0.35 + \frac{69}{6} = 0.35 + 11.50 = \mathbf{11.85} \text{ years}$$

2. If interest rate is $R = 9\%$:

$$\text{Doubling Period} = 0.35 + \frac{69}{9} = 0.35 + 7.667 = \mathbf{8.02} \text{ years}$$

3. If interest rate is $R = 12\%$:

$$\text{Doubling Period} = 0.35 + \frac{69}{12} = 0.35 + 5.75 = \mathbf{6.10} \text{ years}$$

Compound Value of a Series of Payments

e. Compound Value of a Series of Payments For an uneven stream of payments P_t invested across horizon n :

$$\text{Compound Value (FV)} = \sum_{t=1}^n P_t(1 + R)^{n-t} \quad (1.17)$$

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Example 1.3.4: Compound Value of an Uneven Series of Payments

Problem: Calculate the Future Value (FV) of the following series of payments made at the end of each year over a 4-year investment horizon at an interest rate of $R = 9\%$ per annum:

- $P_1 = \text{Rs. } 1,500$ at the end of the 1st year
- $P_2 = \text{Rs. } 3,000$ at the end of the 2nd year
- $P_3 = \text{Rs. } 4,500$ at the end of the 3rd year
- $P_4 = \text{Rs. } 6,000$ at the end of the 4th year

Analytical Formulation: Payments deposited at the end of year t earn compound interest for $(n - t)$ remaining years until the terminal horizon $n = 4$:

$$\text{FV} = \sum_{t=1}^4 P_t(1 + R)^{4-t} = P_1(1 + R)^3 + P_2(1 + R)^2 + P_3(1 + R)^1 + P_4(1 + R)^0$$

Step-by-Step Payment Accumulation:

- **1st Payment (Rs. 1,500):** Invested for $4 - 1 = 3$ years:

$$FV_1 = 1,500 \times (1 + 0.09)^3 = 1,500 \times 1.295029 = \text{Rs. } \mathbf{1,942.55}$$

- **2nd Payment (Rs. 3,000):** Invested for $4 - 2 = 2$ years:

$$FV_2 = 3,000 \times (1 + 0.09)^2 = 3,000 \times 1.188100 = \text{Rs. } \mathbf{3,564.30}$$

- **3rd Payment (Rs. 4,500):** Invested for $4 - 3 = 1$ year:

$$FV_3 = 4,500 \times (1 + 0.09)^1 = 4,500 \times 1.090000 = \text{Rs. } \mathbf{4,905.00}$$

- **4th Payment (Rs. 6,000):** Invested for $4 - 4 = 0$ years (at terminal date):

$$FV_4 = 6,000 \times (1 + 0.09)^0 = 6,000 \times 1.000000 = \text{Rs. } \mathbf{6,000.00}$$

Compound Value Factor (CVAF) Summary Table:

Year (t)	Payment (P_t)	Horizon ($4 - t$)	Factor $(1.09)^{4-t}$	Compound Value (FV_t)
1	Rs. 1,500	3 yrs	1.295029	Rs. 1,942.55
2	Rs. 3,000	2 yrs	1.188100	Rs. 3,564.30
3	Rs. 4,500	1 yr	1.090000	Rs. 4,905.00
4	Rs. 6,000	0 yrs	1.000000	Rs. 6,000.00
Total Terminal Future Value (FV):				Rs. 16,411.85

Final Result: The aggregate compound value of the series of payments at the end of 4 years is **Rs. 16,411.85**.

Compound Value of an Annuity

f. Compound Value of an Annuity For a sequence of equal constant periodic cash flows A invested at interest rate R over duration n :

$$FV \text{ of Annuity} = A \times \left[\frac{(1 + R)^n - 1}{R} \right] = A \cdot CVAF(R, n) \quad (1.18)$$

where:

- A = Constant periodic cash flow or annuity amount
- R = Periodic interest rate
- n = Total number of compounding annuity conversion periods
- $CVAF(R, n)$ = Compound Value Annuity Factor = $\frac{(1 + R)^n - 1}{R}$

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Example 1.3.5: Compound Value of an Annual Annuity

Problem: Calculate the maturity value (Future Value) of an annuity if Rs. 20,000 is paid annually for 7 years at an interest rate of 12% per annum compounded annually.

Given Data:

- Periodic Annuity Flow (A) = Rs. 20,000
- Duration (n) = 7 years
- Interest Rate (R) = 12% p.a. = 0.12

Analytical Solution:

$$FV = A \times \left[\frac{(1 + R)^n - 1}{R} \right] = 20,000 \times \left[\frac{(1 + 0.12)^7 - 1}{0.12} \right]$$

Evaluating the compounding power factor $(1.12)^7 \approx 2.2106814$:

$$\begin{aligned} FV &= 20,000 \times \left[\frac{2.2106814 - 1}{0.12} \right] = 20,000 \times \left[\frac{1.2106814}{0.12} \right] \\ &= 20,000 \times 10.089012 = \text{Rs. } \mathbf{2,01,780.24} \end{aligned}$$

Table Approximation Note: Using standard 3-decimal compound annuity factor tables (CVAF(12%, 7) $\approx$ 10.089 or rounded value 10.090):

$$FV \approx 20,000 \times 10.090 = \text{Rs. } \mathbf{2,01,800.00}$$

Final Result: The maturity accumulated value of the annuity after 7 years is Rs. **2,01,780.24** (approx. Rs. **2,01,800.00**).

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Example 1.3.6: Maturity Value of Monthly Recurring Deposit Annuity

Problem: Bhuvanesh pays a monthly installment of Rs. 2,000 towards a recurring deposit with a financier. The rate of interest is 6% per annum compounded monthly. What is the maturity value of this recurring deposit after 10 months?

Given Data:

- Monthly Deposit (A) = Rs. 2,000
- Nominal Annual Rate (R) = 6% p.a.
- Periodic Monthly Rate (i) = $\frac{6\%}{12} = 0.5\% = 0.005$
- Total Number of Monthly Instalments (n) = 10 months

Analytical Solution:

$$FV = A \times \left[\frac{(1 + i)^n - 1}{i} \right] = 2,000 \times \left[\frac{(1 + 0.005)^{10} - 1}{0.005} \right]$$

Evaluating $(1.005)^{10} \approx 1.05114013$:

$$\begin{aligned} FV &= 2,000 \times \left[\frac{1.05114013 - 1}{0.005} \right] = 2,000 \times \left[\frac{0.05114013}{0.005} \right] \\ &= 2,000 \times 10.228026 = \text{Rs. } \mathbf{20,456.05} \end{aligned}$$

Approximation Note: Using standard recurring deposit financial tables (CVAF(0.5%, 10) $\approx$ 10.22):

$$FV \approx 2,000 \times 10.22 = \text{Rs. } \mathbf{20,440.00}$$

Final Result: The maturity value of the recurring deposit after 10 months is Rs. **20,456.05** (approx. Rs. **20,440.00**).

1.3.2 Discounting & Present Value Techniques

Present Value of Lump Sum & Series of Cash Flows

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a. Present Value of a Lump Sum The present value (PV) of a single future cash flow FV discounted across n periods at rate R :

$$PV = FV \times \frac{1}{(1+R)^n} = FV \cdot (1+R)^{-n} = FV \cdot PVF(R, n) \quad (1.19)$$

b. Present Value of a Series of Cash Flows For an uneven sequence of future cash inflows CF_t received across periods $t = 1, 2, \dots, n$:

$$PV = \sum_{t=1}^n \frac{CF_t}{(1+R)^t} = \sum_{t=1}^n CF_t \times (1+R)^{-t} \quad (1.20)$$

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Example 1.3.7: Present Value of a Single Future Lump Sum

Problem: Find the present value of Rs. 10,000 receivable after 4 years at an interest rate of 12% per annum. (The PV factor in the standard table for 12% and 4 years is 0.6355).

Given Data:

- Future Value (FV) = Rs. 10,000
- Duration (n) = 4 years
- Discount Rate (R) = 12% p.a. = 0.12

Calculation:

$$PV = FV \times \frac{1}{(1+R)^n} = 10,000 \times \frac{1}{(1+0.12)^4} = 10,000 \times \frac{1}{1.573519}$$

$$PV = 10,000 \times 0.635518 = \text{Rs. } \mathbf{6,355.18}$$

Using 3-Decimal Table Factor (0.635):

$$PV = 10,000 \times 0.635 = \text{Rs. } \mathbf{6,350.00}$$

Final Result: The present value of Rs. 10,000 receivable after 4 years is Rs. **6,355.18** (or Rs. **6,350.00** using table factor).

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Example 1.3.8: Construction of Present Value Factor Schedule (12% p.a.)

Problem: Calculate the Present Value Factors (PVF) at an interest rate of 12% per annum for a period of 5 years.

Formula:

$$PVF(12\%, n) = \frac{1}{(1 + 0.12)^n} = (1.12)^{-n}$$

Schedule of Discount Factors:

Year (n)	Mathematical Computation	Present Value Factor (PVF)
1	$\frac{1}{(1.12)^1} = \frac{1}{1.120000}$	0.8929
2	$\frac{1}{(1.12)^2} = \frac{1}{1.254400}$	0.7972
3	$\frac{1}{(1.12)^3} = \frac{1}{1.404928}$	0.7118
4	$\frac{1}{(1.12)^4} = \frac{1}{1.573519}$	0.6355
5	$\frac{1}{(1.12)^5} = \frac{1}{1.762342}$	0.5674

Present Value of Annuities (Ordinary Annuity vs. Annuity Due)**c. Present Value of an Annuity (Ordinary Annuity – Period-End Payments)**

$$PV \text{ of Annuity} = \text{Annuity Amount } (A) \times \left[\frac{1 - (1 + R)^{-n}}{R} \right] = A \times PVAF(R, n) \quad (1.21)$$

d. Present Value of Annuity Due (Period-Beginning Payments)

$$PV \text{ of Annuity Due} = \text{Annuity Amount } (A) \times PVAF(R, n) \times (1 + R) \quad (1.22)$$

Lecture
27/08/2026**Example 1.3.9: Present Value of an Ordinary Annuity Stream**

Problem: Raja has entered into an agreement that will fetch him Rs. 60,000 per annum for the next 4 years. Calculate the present value of these future cash inflows at a discount rate of 20% per annum.

Given Data:

- Annual Cash Inflow (A) = Rs. 60,000
- Horizon (n) = 4 years
- Discount Rate (R) = 20% p.a. = 0.20

Method 1: Year-by-Year Cash Flow Discounting Table

Year (t)	Cash Inflow (CF_t)	PV Factor at 20%: $\frac{1}{(1.20)^t}$	Present Value (PV_t)
1	Rs. 60,000	$\frac{1}{(1.20)^1} = 0.833333$	Rs. 50,000.00
2	Rs. 60,000	$\frac{1}{(1.20)^2} = 0.694444$	Rs. 41,666.67
3	Rs. 60,000	$\frac{1}{(1.20)^3} = 0.578704$	Rs. 34,722.22
4	Rs. 60,000	$\frac{1}{(1.20)^4} = 0.482253$	Rs. 28,935.19
Total Aggregate Present Value (PV):			Rs. 1,55,324.08

Method 2: Analytical PVAF Closed-Form Formula

$$\begin{aligned}
 PV &= A \times \left[\frac{1 - (1 + R)^{-n}}{R} \right] = 60,000 \times \left[\frac{1 - (1.20)^{-4}}{0.20} \right] \\
 &= 60,000 \times \left[\frac{1 - 0.482253}{0.20} \right] = 60,000 \times \left[\frac{0.517747}{0.20} \right] \\
 &= 60,000 \times 2.588735 = \text{Rs. } 1,55,324.08
 \end{aligned}$$

Table Factor Approximation Note: Using standard Present Value Annuity Table factor for 4 years at 20% ($PVAF(20\%, 4) \approx 2.589$):

$$PV \approx 60,000 \times 2.589 = \text{Rs. } 1,55,340.00$$

Final Result: The present value of Raja's annuity agreement is Rs. 1,55,324.08 (or Rs. 1,55,340.00 using 3-decimal table factor).

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Example 1.3.10: Present Value of an Annuity Due

Problem: Mr. Thanay expects to receive Rs. 20,000 at the **beginning** of each year for 4 years. Calculate the present value of this annuity due assuming an annual interest rate of 9%.

Given Data:

- Annual Instalment (A) = Rs. 20,000
- Horizon (n) = 4 payments made at $t = 0, 1, 2, 3$
- Discount Rate (R) = 9% p.a. = 0.09

Method 1: Year-by-Year Discounting of Beginning-of-Year Receipts Because payments occur at the beginning of each year, the first payment is received at $t = 0$ (no discounting):

- **Beginning of Year 1 ($t = 0$):** $PV_0 = \text{Rs. } 20,000$
- **Beginning of Year 2 ($t = 1$):** $PV_1 = \frac{20,000}{(1.09)^1} = \text{Rs. } 18,348.62$
- **Beginning of Year 3 ($t = 2$):** $PV_2 = \frac{20,000}{(1.09)^2} = \text{Rs. } 16,833.60$

- **Beginning of Year 4 ($t = 3$):** $PV_3 = \frac{20,000}{(1.09)^3} = \text{Rs. } 15,443.67$

Summing all individual present values:

$$PV_{\text{due}} = 20,000.00 + 18,348.62 + 16,833.60 + 15,443.67 = \text{Rs. } \mathbf{70,625.89}$$

Method 2: Annuity Due Analytical Formula

$$\begin{aligned} PV_{\text{due}} &= A \times \left[\frac{1 - (1 + R)^{-n}}{R} \right] \times (1 + R) \\ &= 20,000 \times \left[\frac{1 - (1.09)^{-4}}{0.09} \right] \times 1.09 \\ &= 20,000 \times \left[\frac{1 - 0.708425}{0.09} \right] \times 1.09 \\ &= 20,000 \times 3.239720 \times 1.09 = \text{Rs. } \mathbf{70,625.89} \approx \text{Rs. } \mathbf{70,626.00} \end{aligned}$$

Final Result: The present value of Mr. Thanay's annuity due is Rs. **70,625.89** (approx. Rs. **70,626.00**).

Present Value of a Constant Perpetuity

e. Present Value of a Perpetuity (Constant Perpetuity – Infinite Horizon) A **Perpetuity** is an annuity whose periodic cash flows continue indefinitely. The present value of a constant perpetual stream of cash flows C discounted at rate R per period is:

$$PV \text{ of Constant Perpetuity} = \frac{C}{R} \quad (1.23)$$

where:

- C = Constant periodic cash inflow (e.g. annual coupon, preferred dividend)
- R = Discount / capitalization rate per payment period

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Example 1.3.11: Valuation of Preference Shares as a Constant Perpetuity

Problem: A company has issued 10% preference shares with a face value of Rs. 100 each. What would be the fair market price (Present Value) of the preference share if the required rate of return for the investor is 8% per annum?

Given Data:

- Face Value of Preference Share = Rs. 100
- Annual Preference Dividend Rate = 10%
- Constant Annual Dividend (C) = 10% $\times$ Rs. 100 = Rs. 10.00
- Required Rate of Return / Discount Rate (R) = 8% = 0.08

Analytical Solution: Since preference shares pay a constant periodic dividend indefinitely without a specified maturity date, their value is given by the constant perpetuity formula:

$$PV = \frac{C}{R} = \frac{10}{0.08} = \text{Rs. } \mathbf{125.00}$$

Conclusion: The investor will be willing to pay up to Rs. **125.00** to purchase the preference share to earn a 10% dividend on its face value at their required 8% yield.

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Example 1.3.12: Present Value of a Perpetual Cash Flow Stream

Problem: Let us assume that an investor expects a perpetual annual sum of Rs. 500 from an investment. What is the present value of this perpetuity if the benchmark interest rate is 10% per annum?

Given Data:

- Perpetual Annual Cash Inflow (C) = Rs. 500
- Discount Rate (R) = 10% = 0.10

Analytical Calculation:

$$PV = \frac{C}{R} = \frac{500}{0.10} = \text{Rs. } 5,000.00$$

Final Result: The present value of the perpetual Rs. 500 annual cash stream at 10% discount rate is Rs. **5,000.00**.

Present Value of a Growing Perpetuity

f. Present Value of a Growing Perpetuity A **Growing Perpetuity** is an infinite stream of periodic cash flows that grow at a constant compound rate G per period. When the discount rate exceeds the growth rate ($R > G$):

$$PV \text{ of Growing Perpetuity} = \frac{C_1}{R - G} \quad (1.24)$$

where:

- C_1 = Expected cash inflow at the end of the first period
- R = Discount rate / required rate of return per period
- G = Constant compound growth rate of cash flows per period
- **Condition for Convergence:** $R > G$ (if $R \leq G$, the present value diverges to infinity).

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Example 1.3.13: Valuation of a Growing Dividend Stream (Gordon Growth Perpetuity)

Problem: A company is expected to declare a dividend of Rs. 4.00 at the end of the 1st year from now (C_1), and this dividend is projected to grow at a constant annual rate of 5% indefinitely. What is the present value of this perpetual dividend stream if the investor's required rate of return is 10% per annum?

Given Data:

- First-Year Dividend (C_1) = Rs. 4.00

- Constant Annual Dividend Growth Rate (G) = 5% = 0.05
- Required Rate of Return / Discount Rate (R) = 10% = 0.10

Convergence Check: Since $R = 0.10 > G = 0.05$, the finite valuation condition ($R > G$) is satisfied.

Analytical Solution: Applying the growing perpetuity (Gordon growth) formula:

$$\begin{aligned} PV &= \frac{C_1}{R - G} = \frac{4}{0.10 - 0.05} \\ &= \frac{4}{0.05} = \text{Rs. } \mathbf{80.00} \end{aligned}$$

Final Result: The present value (fair market price) of the perpetual growing dividend stream is Rs. **80.00**.

Present Value of a Growing Annuity

g. Present Value of a Growing Annuity (Finite Horizon n) For a stream of n periodic cash flows growing at rate G per period across a finite horizon (with $R \neq G$):

$$PV \text{ of Growing Annuity} = \frac{C_1}{R - G} \left[1 - \left(\frac{1 + G}{1 + R} \right)^n \right] \quad (1.25)$$

where:

- C_1 = Cash flow at period 1
- R = Discount rate per period
- G = Growth rate per period
- n = Life / duration of the annuity

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Example 1.3.14: Present Value of a Growing Annuity Stream

Problem: Mr. Deva has rented out a commercial shop for 4 years at an initial annual rent of Rs. 12,000. The tenant has agreed to an escalation clause where the rent increases by 10% every year. If the required rate of return (discount rate) is 8%, find the present value of the expected series of rental payments.

Given Data:

- Initial First-Year Rent (C_1) = Rs. 12,000
- Lease Duration (n) = 4 years
- Annual Rent Escalation Rate (G) = 10% = 0.10
- Discount Rate (R) = 8% = 0.08

Method 1: Year-by-Year Escalated Cash Flow Discounting Table

- **Year 1:** Cash Flow C_1 = Rs. 12,000

$$PV_1 = \frac{12,000}{(1.08)^1} = \frac{12,000}{1.08} = \text{Rs. } \mathbf{11,111.11}$$

- **Year 2:** Cash Flow $C_2 = 12,000 \times (1 + 0.10) = \text{Rs. } 13,200$

$$PV_2 = \frac{13,200}{(1.08)^2} = \frac{13,200}{1.1664} = \text{Rs. } \mathbf{11,316.87}$$

- **Year 3:** Cash Flow $C_3 = 13,200 \times (1 + 0.10) = \text{Rs. } 14,520$

$$PV_3 = \frac{14,520}{(1.08)^3} = \frac{14,520}{1.259712} = \text{Rs. } 11,526.54$$

- **Year 4:** Cash Flow $C_4 = 14,520 \times (1 + 0.10) = \text{Rs. } 15,972$

$$PV_4 = \frac{15,972}{(1.08)^4} = \frac{15,972}{1.360489} = \text{Rs. } 11,740.16$$

Summing all discounted cash inflows:

$$PV = 11,111.11 + 11,316.87 + 11,526.54 + 11,740.16 = \text{Rs. } 45,694.68$$

Method 2: Growing Annuity Analytical Closed-Form Formula When growth rate $G > R$:

$$\begin{aligned} PV &= \frac{C_1}{G - R} \left[\left(\frac{1 + G}{1 + R} \right)^n - 1 \right] = \frac{12,000}{0.10 - 0.08} \left[\left(\frac{1.10}{1.08} \right)^4 - 1 \right] \\ &= \frac{12,000}{0.02} \left[(1.0185185)^4 - 1 \right] = 6,00,000 \times [1.0761578 - 1] \\ &= 6,00,000 \times 0.0761578 = \text{Rs. } 45,694.68 \end{aligned}$$

Final Result: The present value of the 4-year escalating rental stream is **Rs. 45,694.68**.

Sinking Fund (S.F.) Accumulation & Periodic Instalment

h. Sinking Fund (S.F.) Accumulation A **Sinking Fund** is a dedicated reserve established by investing equal periodic installments at compound interest to accumulate a targeted future capital sum (e.g. to redeem debentures or replace capital equipment):

$$\text{Accumulated Target Fund (FV)} = \text{S.F. Instalment (A)} \times \left[\frac{(1 + R)^n - 1}{R} \right] = A \cdot \text{CVAF}(R, n) \quad (1.26)$$

The required periodic installment A is given by:

$$\text{S.F. Instalment (A)} = \frac{\text{Target Future Fund} \times R}{(1 + R)^n - 1} = \frac{\text{Target Future Fund}}{\text{CVAF}(R, n)} \quad (1.27)$$

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Example 1.3.15: Determination of Annual Sinking Fund Instalment

Problem: An amount of Rs. 2,00,000 is required at the end of 5 years from now to repay a debenture liability. What amount should be accumulated (invested) at the end of each year at an annual interest rate of 12% so that the fund reaches Rs. 2,00,000 after 5 years?

Given Data:

- Target Future Liability (FV) = Rs. 2,00,000
- Accumulation Horizon (n) = 5 years
- Annual Rate of Interest (R) = 12% p.a. = 0.12

Analytical Solution: Let A denote the required annual sinking fund installment deposited at the end of each year:

$$FV = A \times \left[\frac{(1+R)^n - 1}{R} \right] \Rightarrow A = \frac{FV \times R}{(1+R)^n - 1}$$

Evaluating the compound annuity accumulation factor $CVAF(12\%, 5)$:

$$(1.12)^5 \approx 1.76234168$$

$$CVAF(12\%, 5) = \frac{1.76234168 - 1}{0.12} = \frac{0.76234168}{0.12} \approx 6.352847$$

Solving for the annual sinking fund installment A :

$$A = \frac{2,00,000}{6.352847} = \text{Rs. } \mathbf{31,481.95}$$

Table Approximation Notes:

- Using standard 3-decimal Compound Value Annuity Factor tables ($CVAF(12\%, 5) \approx 6.353$):

$$A \approx \frac{2,00,000}{6.353} = \text{Rs. } \mathbf{31,481.19}$$

- Using standard Sinking Fund Factor tables ($SFF(12\%, 5) = \frac{1}{CVAF} \approx 0.15741$):

$$A = 2,00,000 \times 0.15741 = \text{Rs. } \mathbf{31,482.00}$$

Final Result: The required annual sinking fund installment to be invested each year is Rs. **31,481.95** (approx. Rs. **31,482.00**).

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Example 1.3.16: Annuity Due Sinking Fund (T Limited)

Problem: T Limited is creating a sinking fund to redeem its debentures of Rs. 40,00,000 issued on April 5, 2008 and maturing on April 4, 2020. The first annual payment to the fund will be made on April 5, 2008 (at the beginning of each operating year). The company will make equal annual payments and expects that the fund will earn an interest rate of 14% per annum. How much will be the amount of the annual sinking fund payment?

Given Data:

- Target Sinking Fund Liability (FV) = Rs. 40,00,000
- Debenture Issue Date: April 5, 2008 Maturity Date: April 4, 2020
- Horizon (n) = 2020 – 2008 = 12 years
- Timing: Beginning of each year (Annuity Due)
- Annual Interest Rate (R) = 14% p.a. = 0.14

Formula:

$$FV = \text{Instalment } (A) \times \left[\frac{(1+R)^n - 1}{R} \right] \times (1+R)$$

Substitution & Calculation:

$$40,00,000 = A \times \left[\frac{(1 + 0.14)^{12} - 1}{0.14} \right] \times (1 + 0.14)$$

$$40,00,000 = A \times \left[\frac{4.817906 - 1}{0.14} \right] \times 1.14$$

$$40,00,000 = A \times \left[\frac{3.817906}{0.14} \right] \times 1.14$$

$$40,00,000 = A \times 27.270756 \times 1.14$$

$$40,00,000 = A \times 31.088662$$

$$A = \frac{40,00,000}{31.088662} = \text{Rs. } \mathbf{1,28,664.31}$$

Final Result: The required annual sinking fund instalment is Rs. **1,28,664.31**.

1.4 Growth and Decay Curves

Definition 1.4.1: Exponential Growth and Decay Models

Let t denote time ($t \geq 0$) and $n(t)$ denote the modeled quantity at time t . The dynamics of continuous exponential growth and decay are characterized by:

- **Exponential Growth Model:** $n(t) = n_0 e^{kt}$, $k > 0$ (initial quantity $n_0 = n(0)$, growth constant k)
- **Exponential Decay Model:** $n(t) = n_0 e^{-kt}$, $k > 0$ (initial quantity $n_0 = n(0)$, decay constant k)

For scaling over time interval $[0, T]$ between boundary values $[n_{\min}, n_{\max}]$:

$$k = \frac{1}{T} \ln \left(\frac{n_{\max}}{n_{\min}} \right) = \frac{1}{5} \ln \left(\frac{70}{10} \right) = \frac{\ln 7}{5} \approx 0.389182 \quad (1.28)$$

- **Growth Curve:** $n(t) = 10 e^{0.389182t}$, increasing monotonically from 10 to 70.
- **Decay Curve:** $n(t) = 70 e^{-0.389182t}$, decreasing monotonically from 70 to 10.

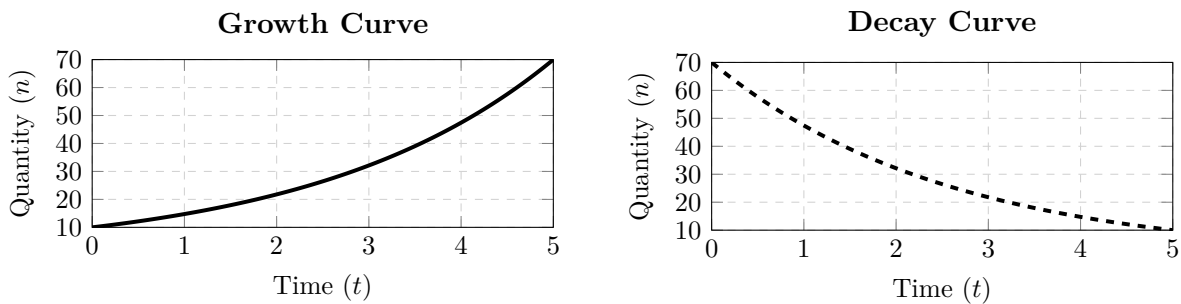


Figure 1.1: Research-Style Greyscale Exponential Growth (Solid) and Decay (Dashed) Curves

Decay Curves in Financial Trading: Price Impact Analysis

Market Microstructure Interpretation of the Decay Curve: In financial markets and quantitative execution, a **decay curve** models how a trade's impact on asset price evolves over time:

- **X-axis:** Time elapsed following trade execution.
- **Y-axis:** Price change / price impact.

Institutional Users (Large Banks): Decay curves are systematically employed by large investment banks and market-making desks to:

1. **Monitor trade impacts:** Measuring how individual block orders or algorithmic parent orders move the bid-ask quote and midpoint over time.
2. **Detect toxic behavior:** Identifying informed order flow, adverse selection, and toxic flow that degrades fill quality and market liquidity.

Core Purpose:

1. **Understand long-term trade impact:** Disentangling temporary market impact (liquidity consumption that decays back to fundamental value) from permanent price impact (information revelation).
2. **Ensure market stability:** Managing institutional execution schedules (e.g. TWAP/VWAP/POV) to prevent excessive volatility and preserve market stability.

Chapter 2

Valuation of Financial Instruments

2.1 Foundations of Valuation and Yield Concepts

Lecture
07/09/2026

Definition 2.1.1: Foundational Valuation Concepts

In corporate finance and financial mathematics, asset valuation depends fundamentally on the perspective and purpose of evaluation:

1. **Book Value:** The accounting net worth of an asset or firm recorded on the balance sheet (historic cost minus accumulated depreciation).
2. **Market Value:** The actual price at which an asset or financial security can be bought or sold in an active, competitive market.
3. **Going Concern Value:** The economic value a prospective purchaser is prepared to pay for an operating business with established operations and recurring earnings power.
4. **Liquidating Value (Breakup Value):** The net residual sum realized if all assets of the enterprise are sold piecemeal and all external liabilities are settled.
5. **Capitalised Value:** The present value of all anticipated future cash inflows generated by a fixed asset or project, discounted at the firm's required cost of capital.

2.1.1 Yield Fundamentals

Market Yield and Current Yield

The **Current Yield** measures the annual income return generated by a fixed-income security or preference share relative to its current market price:

$$\text{Current Yield} = \frac{\text{Annual Dividend / Coupon}}{\text{Current Market Price}} \times 100 \quad (2.1)$$

The **Dividend Yield** (dY) of an equity or preference share is defined as:

$$dY = \frac{\text{DPS}}{P_0} \times 100 \quad (2.2)$$

where DPS is the annual dividend per share and P_0 is the current market price per share.

Example 2.1.1: Current Yield of Preference Shares

An 8% preference share of ABC Limited with face value Rs. 100 is selling in the market for Rs. 64. Determine the current yield of the preference share.

Formula:

$$\text{Current Yield} = \frac{\text{Annual Dividend}}{P_0} \times 100$$

Substitution:

$$\text{Current Yield} = \frac{8}{64} \times 100 = 0.125 \times 100 = 12.5\%$$

Value: 12.5%

Example 2.1.2: Expected Return on XYZ Limited Preference Shares

The preference shares of XYZ Ltd are selling for Rs. 50 per share and pay an annual dividend of Rs. 3. What is the expected rate of return if the security is purchased at the market price?

Formula:

$$\text{Expected Return} = \frac{\text{DPS}}{P_0} \times 100$$

Substitution:

$$\text{Expected Return} = \frac{3}{50} \times 100 = 6\%$$

Value: 6%

Example 2.1.3: Valuation and Investment Decision (Bhuvanesh / PQR Ltd)

Bhuvanesh owns 200 preference shares of PQR Ltd, currently selling at Rs. 40 per share and paying an annual dividend of Rs. 7 per share.

1. What is the expected return (dividend yield)?
2. If Bhuvanesh requires a 12% return, should he sell or buy more preference shares?

1. Expected Return:

$$\text{Expected Return} = \frac{7}{40} \times 100 = 17.5\%$$

2. Intrinsic Valuation and Decision Rule:

$$P^* = \frac{D}{K} = \frac{7}{0.12} = \text{Rs. } 58.33$$

Since the expected rate of return (17.5%) exceeds the required rate of return (12%) and the market price ($P_0 = \text{Rs. } 40$) is below intrinsic worth ($P^* = \text{Rs. } 58.33$), the security is undervalued. Hence, Bhuvanesh should **buy more preference shares**.

2.2 Yield to Maturity, Holding Period Return, and Equity Valuation

Lecture
08/09/2026

Definition 2.2.1: Yield Measures and Holding Period Return

Yield to Maturity (YTM / Redemption Yield) The overall annualized rate of return earned by an investor who holds a fixed-income bond or redeemable preference share to its maturity date. YTM reflects:

1. Recurring annual coupon/dividend cash flows.
2. Periodic capital appreciation or depreciation over the holding span (difference between face value and purchase price).

Holding Period Return (HPR) The total return achieved over a planned holding duration:

$$\text{HPR} = \frac{D_t + \Delta P}{P_1} = \frac{D_t + (P_t - P_1)}{P_1} \quad (2.3)$$

where D_t is the dividend received during the period, P_1 is the purchase price, P_t is the terminal selling price, and $\Delta P = P_t - P_1$ represents capital gain/loss.

Earnings Yield The proportion of accounting net earnings generated per share relative to market price:

$$\text{Earnings Yield} = \frac{\text{EPS}}{P_0} \quad (2.4)$$

- **Gross Yield:** Used by corporate treasurers to estimate the effective cost of equity capital.
- **Net Yield:** Used by equity investors to evaluate the true underlying investment return after taxes.

2.2.1 Approaches to Equity Share Valuation

Methods of Equity Valuation

Equity valuation methodologies fall into four structured frameworks:

1. **Accounting-Based Models:** Book Value (balance sheet net worth) and Liquidation Value.
2. **Dividend Discount Models (DDM):** Present value of all projected future dividend streams.
3. **Discounted Cash Flow (DCF) Models:** Operating cash flows (FCFF) and Free Cash Flows to Equity (FCFE).
4. **Relative Valuation Metrics:** Price-to-Earnings (P/E), Price-to-Book (P/B), and Price-to-Sales (P/S).

2.2.2 The General Dividend Discount Model (DDM)

Definition 2.2.2: General DDM Assumptions

Under fundamental dividend discount theory:

1. Dividends are paid annually at discrete intervals.
2. The first dividend D_1 is received exactly one year after acquisition.
3. Equity liquidation occurs at year-end on ex-dividend terms.

Finite and Infinite DDM Formulations

For a **Finite Holding Period** (n years) with terminal market price P_n :

$$P_0 = \sum_{t=1}^n \frac{D_t}{(1 + K_e)^t} + \frac{P_n}{(1 + K_e)^n} \quad (2.5)$$

Specifically, for a **Two-Year Holding Horizon** ($n = 2$):

$$P_0 = \frac{D_1}{1 + K_e} + \frac{D_2 + P_2}{(1 + K_e)^2} \quad (2.6)$$

For an **Infinite Holding Horizon** ($n \rightarrow \infty$), share price equals the discounted sum of all future perpetual dividends:

$$P_0 = \sum_{t=1}^{\infty} \frac{D_t}{(1 + K_e)^t} \quad (2.7)$$

where P_0 is intrinsic share price, D_t is expected dividend at year t , and K_e is the required equity return.

2.3 Dividend Valuation Models: Constant Dividend and Gordon Basics

2.3.1 Model 1: Zero Growth (Constant Perpetual Dividend)

Lecture
10/09/2026

Zero Growth Valuation Formula

When a firm pays an invariant perpetual dividend ($D_t = D$ for all t):

$$P_0 = \frac{D}{K_e} \quad (2.8)$$

Example 2.3.1: Zero-Growth Equity Valuation

A firm pays an annual dividend of 20% on equity shares of face value Rs. 100 each. Find the intrinsic value of the share given that dividends remain constant perpetually and the required rate of return is 15%.

Formula:

$$P_0 = \frac{D}{K_e} = \frac{\text{Face Value} \times \text{Dividend Rate}}{K_e}$$

Substitution:

$$D = 100 \times 20\% = \text{Rs. } 20, \quad K_e = 0.15$$

$$P_0 = \frac{20}{0.15} = \text{Rs. } 133.33$$

Value: Rs. 133.33

2.3.2 Model 2: Constant Growth Dividend Model

Gordon Constant Growth Formula

Assuming dividends expand at a steady compound annual growth rate g ($g < K_e$):

$$P_0 = \frac{D_1}{K_e - g} = \frac{D_0(1 + g)}{K_e - g} \quad (2.9)$$

Example 2.3.2: Constant Growth Share Valuation

A share of face value Rs. 100 pays an expected dividend of 12% at the end of Year 1 (D_1). Dividend growth is estimated at 3% per annum (g). If the investor's required rate of return is 16% (K_e), calculate the intrinsic equity value.

Formula:

$$P_0 = \frac{D_1}{K_e - g}$$

Substitution:

$$D_1 = 100 \times 12\% = \text{Rs. } 12, \quad K_e = 0.16, \quad g = 0.03$$

$$P_0 = \frac{12}{0.16 - 0.03} = \frac{12}{0.13} = \text{Rs. } 92.31$$

Value: Rs. 92.31

2.3.3 Specific Dividend Valuation Models: Gordon's Model Fundamentals

Definition 2.3.1: Gordon Model Assumptions and Growth Formulation

Under Myron J. Gordon's dividend capitalization framework:

1. Earnings are either distributed as cash dividends or retained for internal reinvestment.
2. The retention ratio b and rate of return on reinvested capital r remain strictly constant.
3. Growth rate in future earnings and dividends is endogenous:

$$g = b \times r \quad (2.10)$$

4. The firm is an all-equity enterprise with infinite life, and $K_e > br$.

Gordon's Valuation Formula

$$P_0 = \frac{\text{EPS}_1(1 - b)}{K_e - b \cdot r} = \frac{D_1}{K_e - g} \quad (2.11)$$

where EPS_1 is expected earnings per share, b is the retention ratio, $(1 - b)$ is the dividend payout ratio, K_e is the cost of equity, and r is the internal rate of return.

Example 2.3.3: Earnings Reinvestment vs. Full Payout

A firm generates $EPS_1 = \text{Rs. } 9$ and faces a cost of capital $K_e = 15\%$. Compare the expected dividend D_1 under:

1. Case 1: Retention ratio $b = 0$ (entire earnings distributed as dividend).
2. Case 2: Payout ratio $1 - b = 60\%$ (retention ratio $b = 40\%$).

Case 1 ($b = 0$):

$$D_1 = EPS_1 \times (1 - b) = 9 \times (1 - 0) = \text{Rs. } 9.00$$

Case 2 ($b = 0.40$):

$$D_1 = EPS_1 \times (1 - b) = 9 \times 0.60 = \text{Rs. } 5.40$$

Value: Case 1: Rs. 9.00 | Case 2: Rs. 5.40

2.4 Gordon's Model: Growth, Normal, and Declining Firm Dynamics

Lecture
15/09/2026

Firm Classification and Payout Policy Implications

Gordon's model establishes three distinct economic regimes based on the relationship between return on investment (r) and capitalization rate (K_e):

1. **Growth Firm ($r > K_e$):** The firm earns more on retained capital than equity holders could earn externally. The optimal dividend payout ratio is **NIL** (0%), and retention should be maximized ($b = 100\%$).
2. **Normal Firm ($r = K_e$):** Internal returns match investors' required returns. The dividend payout ratio is **irrelevant**; market price remains identical across all payout levels.
3. **Declining Firm ($r < K_e$):** Internal returns are lower than the opportunity cost of capital. The optimal dividend payout ratio is 100%, and retention should be zero ($b = 0\%$).

Example 2.4.1: Gordon's Model for a Growth Firm (XY Ltd)

XY Ltd is a growth firm with $EPS = \text{Rs. } 14$, capitalization rate $K_e = 15\%$, and internal rate of return $r = 20\%$. Determine the market price per share under Gordon's model for retention ratios of: (a) 40%, (b) 60%, (c) 20%.

General Formula:

$$P_0 = \frac{EPS \times (1 - b)}{K_e - b \cdot r} = \frac{D}{K_e - g}$$

(a) **Retention** $b = 40\%$ (**Payout** = 60%):

$$D = 14 \times 0.60 = \text{Rs. } 8.40, \quad g = 0.40 \times 0.20 = 0.08$$

$$P_0 = \frac{8.40}{0.15 - 0.08} = \frac{8.40}{0.07} = \text{Rs. } 120.00$$

(b) **Retention** $b = 60\%$ (**Payout** = 40%):

$$D = 14 \times 0.40 = \text{Rs. } 5.60, \quad g = 0.60 \times 0.20 = 0.12$$

$$P_0 = \frac{5.60}{0.15 - 0.12} = \frac{5.60}{0.03} = \text{Rs. } 186.67$$

(c) **Retention** $b = 20\%$ (**Payout** = 80%):

$$D = 14 \times 0.80 = \text{Rs. } 11.20, \quad g = 0.20 \times 0.20 = 0.04$$

$$P_0 = \frac{11.20}{0.15 - 0.04} = \frac{11.20}{0.11} = \text{Rs. } 101.82$$

Conclusion: Because $r > K_e$ ($20\% > 15\%$), market price per share increases as the retention ratio increases. The growth firm maximizes shareholder wealth by retaining maximum earnings.

Example 2.4.2: Gordon's Model for a Normal Firm (MN Ltd)

MN Ltd is a normal firm with $\text{EPS} = \text{Rs. } 45$, cost of capital $K_e = 18\%$, and return on investment $r = 18\%$. Ascertain the market value per share using Gordon's model if dividend payout is: (a) 30%, (b) 60%, (c) 90%.

General Formula:

$$P_0 = \frac{\text{EPS} \times (1 - b)}{K_e - b \cdot r}$$

(a) **Payout** = 30% (**Retention** $b = 70\%$):

$$D = 45 \times 0.30 = \text{Rs. } 13.50, \quad g = 0.70 \times 0.18 = 0.126$$

$$P_0 = \frac{13.50}{0.18 - 0.126} = \frac{13.50}{0.054} = \text{Rs. } 250.00$$

(b) **Payout** = 60% (**Retention** $b = 40\%$):

$$D = 45 \times 0.60 = \text{Rs. } 27.00, \quad g = 0.40 \times 0.18 = 0.072$$

$$P_0 = \frac{27.00}{0.18 - 0.072} = \frac{27.00}{0.108} = \text{Rs. } 250.00$$

(c) **Payout** = 90% (**Retention** $b = 10\%$):

$$D = 45 \times 0.90 = \text{Rs. } 40.50, \quad g = 0.10 \times 0.18 = 0.018$$

$$P_0 = \frac{40.50}{0.18 - 0.018} = \frac{40.50}{0.162} = \text{Rs. } 250.00$$

Conclusion: For a normal firm ($r = K_e = 18\%$), the share price is invariant to payout choice ($P_0 = \text{Rs. } 250.00$). Dividend policy is completely neutral.

Example 2.4.3: Gordon's Model for a Declining Firm (ABC Ltd)

ABC Ltd is a declining firm with $\text{EPS} = \text{Rs. } 35$, capitalization rate $K_e = 15\%$, and productivity of retained earnings $r = 10\%$. Using Gordon's model, determine the market price per share if payout is: (a) 20%, (b) 40%, (c) 70%.

General Formula:

$$P_0 = \frac{\text{EPS} \times (1 - b)}{K_e - b \cdot r}$$

(a) Payout = 20% (Retention $b = 80\%$):

$$D = 35 \times 0.20 = \text{Rs. } 7.00, \quad g = 0.80 \times 0.10 = 0.08$$

$$P_0 = \frac{7.00}{0.15 - 0.08} = \frac{7.00}{0.07} = \text{Rs. } 100.00$$

(b) Payout = 40% (Retention $b = 60\%$):

$$D = 35 \times 0.40 = \text{Rs. } 14.00, \quad g = 0.60 \times 0.10 = 0.06$$

$$P_0 = \frac{14.00}{0.15 - 0.06} = \frac{14.00}{0.09} = \text{Rs. } 155.56$$

(c) Payout = 70% (Retention $b = 30\%$):

$$D = 35 \times 0.70 = \text{Rs. } 24.50, \quad g = 0.30 \times 0.10 = 0.03$$

$$P_0 = \frac{24.50}{0.15 - 0.03} = \frac{24.50}{0.12} = \text{Rs. } 204.17$$

Conclusion: Because $r < K_e$ ($10\% < 15\%$), market price per share increases monotonically as the dividend payout ratio increases. The optimal policy for a declining firm is 100% payout.

2.5 Walter's Dividend Valuation Model and Policy Decisions

2.5.1 Theories of Dividend Policy

Lecture
16/09/2026

Definition 2.5.1: Dividend Relevance vs. Irrelevance

- **Theories of Relevance:** Maintain that dividend payouts actively dictate share valuation and firm wealth. Key formulations: *Gordon's Model* and *Walter's Model*.
- **Theories of Irrelevance:** Posit that dividend distributions do not affect shareholder wealth or the cost of capital in perfect markets. Key formulation: *Modigliani-Miller (MM) Hypothesis*.

2.5.2 Prof. E. James Walter's Model

Definition 2.5.2: Walter's Model Foundations and Assumptions

Prof. E. James Walter argued that dividend policy is an inseparable investment decision. The relationship between the firm's internal rate of return (r) and its capitalization rate (k) determines value:

1. **Internal Equity Financing:** Retained earnings represent the sole financing source; no new equity or debt is issued.
2. **Constant Returns:** Return on investment r and cost of capital k remain constant over time.
3. **Infinite Horizon:** The firm has an infinite economic life.
4. **Constant Earnings and Dividends:** EPS and DPS are invariant in assessing baseline values.

Walter's Valuation Formula

The theoretical market price per share (P) under Walter's model is given by:

$$P = \frac{D + \frac{r}{k}(E - D)}{k} \quad (2.12)$$

where:

- P = Theoretical market price per share (MPS)
- D = Dividend per share (DPS)
- E = Earnings per share (EPS)
- r = Firm's internal rate of return on investment
- k = Cost of capital / capitalization rate
- $(E - D)$ = Retained earnings per share
- $\frac{r}{k}(E - D)$ = Capitalized market worth of retained earnings

Total Value of the Firm (V) with N outstanding equity shares is:

$$V = N \times P \quad (2.13)$$

Example 2.5.1: Walter's Model for a Growth Firm (Nirmal Ltd)

Nirmal Ltd has a cost of capital $k = 10\%$ and rate of return on investment $r = 18\%$. The company has 500,000 outstanding equity shares and an EPS = Rs. 20. Compute the market price per share and total value of the firm under Walter's model for: (a) No retention (0%), (b) 40% retention, (c) 80% retention.

Formula:

$$P = \frac{D + \frac{r}{k}(E - D)}{k}, \quad V = N \times P$$

Here $E = \text{Rs. } 20$, $r = 0.18$, $k = 0.10$, so $\frac{r}{k} = \frac{0.18}{0.10} = 1.80$.

(a) Retention 0% (Payout 100%, $D = 20$):

$$P = \frac{20 + 1.80(20 - 20)}{0.10} = \frac{20 + 0}{0.10} = \text{Rs. } 200.00$$

$$V = 500,000 \times 200 = \text{Rs. } 10,00,00,000 \quad (10 \text{ Crore})$$

(b) Retention 40% (Payout 60%, $D = 20 \times 0.60 = 12$):

$$P = \frac{12 + 1.80(20 - 12)}{0.10} = \frac{12 + 14.40}{0.10} = \frac{26.40}{0.10} = \text{Rs. } 264.00$$

$$V = 500,000 \times 264 = \text{Rs. } 13,20,00,000 \quad (13.2 \text{ Crore})$$

(c) Retention 80% (Payout 20%, $D = 20 \times 0.20 = 4$):

$$P = \frac{4 + 1.80(20 - 4)}{0.10} = \frac{4 + 28.80}{0.10} = \frac{32.80}{0.10} = \text{Rs. } 328.00$$

$$V = 500,000 \times 328 = \text{Rs. } 16,40,00,000 \quad (16.4 \text{ Crore})$$

Conclusion: Because $r > k$ ($18\% > 10\%$), Nirmal Ltd is a growth firm. As dividend payout increases, firm value diminishes. The optimal payout ratio is 0% (full retention).

Example 2.5.2: Walter's Model for a Normal Firm

The EPS of a company is Rs.15, its rate of capitalization $k = 12\%$, and return on investment $r = 12\%$. Compute the market value per share under Walter's model for payout ratios of: (a) 20%, (b) 50%, (c) 70%. Which is the optimum payout ratio?

Formula:

$$P = \frac{D + \frac{r}{k}(E - D)}{k}$$

Since $r = k = 12\%$, the ratio $\frac{r}{k} = \frac{0.12}{0.12} = 1.00$. Hence:

$$P = \frac{D + 1(15 - D)}{0.12} = \frac{15}{0.12} = \text{Rs. } 125.00$$

(a) Payout 20% ($D = 15 \times 0.20 = \text{Rs. } 3.00$): $P = \text{Rs. } 125.00$

(b) Payout 50% ($D = 15 \times 0.50 = \text{Rs. } 7.50$): $P = \text{Rs. } 125.00$

(c) Payout 70% ($D = 15 \times 0.70 = \text{Rs. } 10.50$): $P = \text{Rs. } 125.00$

Conclusion: Because $r = k$, share price remains constant at Rs.125.00 across all payout ratios. Dividend policy is neutral; there is no unique optimum payout ratio.

Example 2.5.3: Walter's Model for a Declining Firm

The EPS of a firm is Rs.12, its capitalization rate is $k = 15\%$, and rate of return on investment is $r = 9\%$. Compute the market price per share using Walter's model for dividend payout ratios of: (a) 25%, (b) 50%, (c) 100%. Which is the ideal payout ratio?

Formula:

$$P = \frac{D + \frac{r}{k}(E - D)}{k}$$

Given $E = \text{Rs. } 12$, $k = 0.15$, $r = 0.09$, so $\frac{r}{k} = \frac{0.09}{0.15} = 0.60$.

(a) Payout 25% ($D = 12 \times 0.25 = \text{Rs. } 3.00$):

$$P = \frac{3 + 0.60(12 - 3)}{0.15} = \frac{3 + 5.40}{0.15} = \frac{8.40}{0.15} = \text{Rs. } 56.00$$

(b) **Payout 50%** ($D = 12 \times 0.50 = \text{Rs. 6.00}$):

$$P = \frac{6 + 0.60(12 - 6)}{0.15} = \frac{6 + 3.60}{0.15} = \frac{9.60}{0.15} = \text{Rs. 64.00}$$

(c) **Payout 100%** ($D = 12 \times 1.00 = \text{Rs. 12.00}$):

$$P = \frac{12 + 0.60(12 - 12)}{0.15} = \frac{12 + 0}{0.15} = \text{Rs. 80.00}$$

2.6 Modigliani–Miller (MM) Dividend Irrelevance Theory and Capital Budgeting Dynamics

Lecture
17/09/2026

Franco Modigliani and Merton Miller (1961) presented a seminal theoretical framework establishing that under conditions of perfect capital markets, a firm's dividend policy has **no effect** on its market valuation or share price. The market value of the firm is governed exclusively by its fundamental earning power and real investment policy, rather than how net earnings are split between distributed dividends and retained earnings.

2.6.1 Theoretical Foundations and Valuation Equations

The MM approach assumes that investors are rational and indifferent between current dividends and capital appreciation in a frictionless market. The current market price of an equity share (P_0) represents the discounted present value of the dividend received at the end of the operating period (D_1) plus the market price of the share prevailing at that time (P_1):

$$P_0 = \frac{D_1 + P_1}{1 + K_e} \quad (2.14)$$

Rearranging Equation (2.14) yields the market price of the share at the end of the period (P_1):

$$P_1 = P_0(1 + K_e) - D_1 \quad (2.15)$$

Where:

- P_0 = Current market price per share at the beginning of the period ($t = 0$).
- P_1 = Market price per share at the end of the period ($t = 1$).
- D_1 = Dividend per share declared/distributed at the end of the period.
- K_e = Rate of capitalization appropriate to the risk class of the firm.

2.6.2 Financing Investment Requirements and New Share Issuance

When a firm undertakes capital investment outlays (I), the required funding is financed first through available retained earnings, with any deficit financed via the issuance of new equity shares:

$$\text{Retained Earnings Available} = E - nD_1 \quad (2.16)$$

$$\text{Capital Deficit to be Raised } (\Delta M) = I - (E - nD_1) \quad (2.17)$$

$$\text{Number of New Shares Issued } (m = \Delta n) = \frac{\Delta M}{P_1} = \frac{I - (E - nD_1)}{P_1} \quad (2.18)$$

Where:

- I = Total capital investment budget required for the period.
- E = Total net income of the firm for the operating period.
- n = Number of existing shares outstanding at the beginning of the period.
- nD_1 = Aggregate dividend distribution to existing shareholders.
- ΔM = Additional equity capital required to be raised externally.
- $m = \Delta n$ = Number of newly issued shares.
- P_1 = Market issue price per share at the end of the period.

Accounting Statement Format for External Equity Financing

In corporate financial practice, the capital requirement and new equity issuance are determined using the standard accounting statement format shown in Table 2.1.

Particulars	Details (Rs.)	Amount (Rs.)
Investment Proposal Outlay (I)		xxx
<i>Less: Retained Earnings Available for Investment:</i>		
Total Net Income for the Period (E)	xxx	
Less: Total Dividend Distribution ($n \cdot D_1$)	(xxx)	
Retained Earnings Available ($E - n \cdot D_1$)		(xxx)
Amount to be Raised by Issue of New Shares (ΔM)		xxx
Number of New Shares to be Issued ($m = \Delta n$):		
$m = \Delta n = \frac{\text{Amount to be Raised by Issue of New Shares}}{\text{Issue Price per Share}} = \frac{\Delta M}{P_1} = \frac{I - (E - n \cdot D_1)}{P_1}$		

Table 2.1: Accounting Statement Layout for MM External Equity Financing

2.6.3 Proof of Total Market Value Invariance

The aggregate market value of the firm at the end of the period (V_1) is given by multiplying the total post-issue shares by the year-end market price:

$$V_1 = (n + m)P_1 \quad (2.19)$$

Substituting $mP_1 = I - E + nD_1$ from Equation (2.17) into Equation (2.19):

$$\begin{aligned} V_1 &= nP_1 + mP_1 \\ &= nP_1 + I - E + nD_1 \\ &= n(P_1 + D_1) + I - E \end{aligned} \quad (2.20)$$

From Equation (2.14), $P_1 + D_1 = P_0(1 + K_e)$. Substituting this gives:

$$V_1 = nP_0(1 + K_e) + I - E \quad (2.21)$$

Equation (2.21) contains neither D_1 nor the payout ratio. Consequently, total market value is invariant to dividend distributions: dividend payouts reduce internal funds, requiring compensatory new share issuance which dilutes future claims by exactly the dividend amount.

Example 2.6.1: Stewart Ltd: MM Dividend Irrelevance and Valuation

Stewart Ltd has 40,000 shares outstanding currently trading at Rs. 15 each. The board of directors has recommended Rs. 2 per share as dividend. The rate of capitalization appropriate to the firm's risk class is 20%.

1. Based on the MM approach, calculate the share price at the end of the year if dividend is: (a) distributed, (b) not declared.
2. Determine the number of new shares to be issued at year-end assuming net income is Rs. 1,20,000 and the investment budget is Rs. 2,80,000 under both cases.
3. Show that total market value of shares at year-end remains identical in both cases.
4. Is the MM approach realistic? What factors mar its empirical validity?

Given Parameters:

$$n = 40,000 \text{ shares}, \quad P_0 = \text{Rs. } 15, \quad K_e = 20\% = 0.20 \implies 1 + K_e = 1.20$$

$$E = \text{Rs. } 1,20,000, \quad I = \text{Rs. } 2,80,000$$

(i) Market Price of the Share at Year End (P_1):

$$P_0 = \frac{D_1 + P_1}{1 + K_e} \implies P_1 = P_0(1 + K_e) - D_1$$

- **(a) When Dividend is Distributed ($D_1 = \text{Rs. } 2$):**

$$15 = \frac{2 + P_1}{1.20} \implies 15 \times 1.20 = 2 + P_1 \implies 18 = 2 + P_1 \implies P_1 = \text{Rs. } 16.00$$

- **(b) When Dividend is Not Declared ($D_1 = \text{Rs. } 0$):**

$$15 = \frac{0 + P_1}{1.20} \implies 15 \times 1.20 = P_1 \implies P_1 = \text{Rs. } 18.00$$

(ii) Amount to be Raised and Number of New Shares Issued:

$$\text{Deficit } (\Delta M) = I - (E - nD_1), \quad m = \frac{\Delta M}{P_1}$$

Particulars	Dividend Distributed ($D_1 = \text{Rs. } 2$)	Dividend Not Declared ($D_1 = \text{Rs. } 0$)
Capital Investment Outlay (I)	Rs. 2,80,000	Rs. 2,80,000
<i>Less: Retained Earnings Available:</i>		
Total Net Income (E)	Rs. 1,20,000	Rs. 1,20,000
Less: Total Dividend Paid (nD_1)	(Rs. 80,000)	(Rs. 0)
Retained Earnings Available for Investment	Rs. 40,000	Rs. 1,20,000
Amount to be Raised by New Issue (ΔM)	Rs. 2,40,000	Rs. 1,60,000
Issue Price per Share (P_1)	Rs. 16.00	Rs. 18.00
Number of New Shares Issued (m)	15,000 shares (2,40,000/16)	8,888.89 shares (1,60,000/18 $\approx$ 8,889)

(iii) Proof of Total Market Value Invariance at Year End (V_1):

$$V_1 = (n + m) \times P_1$$

Particulars	Dividend Distributed	Dividend Not Declared
Existing Shares Outstanding (n)	40,000	40,000
(+) New Shares Issued (m)	15,000	8,888.89
Total Shares at Year End ($n + m$)	55,000	48,888.89
Market Price per Share (P_1)	Rs. 16.00	Rs. 18.00
Total Market Value of Shares (V_1)	Rs. 8,80,000	Rs. 8,80,000
	(55,000 × Rs. 16)	(48,888.89 × Rs. 18)

Conclusion: Market value of equity at year-end remains exactly **Rs. 8,80,000** under both distribution policies, demonstrating complete dividend irrelevance.

(iv) Empirical Validity and Critical Limitations of the MM Approach:

The MM hypothesis is theoretical. In real-world capital markets, its validity is compromised by severe market frictions:

1. **Absence of Taxes:** MM assumes zero tax or identical taxation. In practice, personal income tax rates on dividends often exceed effective capital gains tax rates, creating tax-induced clienteles.
2. **Flotation and Transaction Costs:** Issuing new equity entails significant underwriting, legal, and administrative expenses. Thus, external equity is more costly than internal retained cash flows.
3. **Informational Asymmetry & Signaling:** In reality, dividend increases signal managerial confidence regarding sustainable future profitability, causing positive market price reactions.
4. **Financing and Investment Separation:** MM assumes real investment policy is predetermined and invariant to dividend choices, whereas capital rationing often forces firms to curb investments if cash is paid out as dividends.

Comprehensive Formula Reference Sheet

Chapter 1: Interest Theory and Mathematical Foundations

1. Simple Interest and Total Accumulated Amount

$$SI = \frac{P \cdot N \cdot R}{100}$$
$$A = P + SI = P \left(1 + \frac{N \cdot R}{100} \right)$$

Where:

- P = Principal sum borrowed or invested
- N = Time period in years
- R = Annual rate of interest (%)
- SI = Simple interest earned
- A = Total accumulated amount (Principal + Interest)

2. Compound Interest and Multiple Conversion Periods

Annual Compounding Amount: $A = P \left(1 + \frac{R}{100} \right)^N$

Compound Interest Earned: $CI = A - P = P \left[\left(1 + \frac{R}{100} \right)^N - 1 \right]$

Sub-Annual Compounding (m times/year): $A = P \left(1 + \frac{R}{m \cdot 100} \right)^{m \cdot N}$

Continuous Compounding: $A = P \cdot e^{r \cdot N} \quad \left(r = \frac{R}{100} \right)$

Where:

- P = Initial principal sum
- R = Nominal annual rate of interest (%)
- r = Nominal interest rate in decimal form ($r = R/100$)
- N = Total investment duration in years
- m = Compounding frequency per annum ($m = 2$ semi-annual, $m = 4$ quarterly, $m = 12$ monthly)
- e = Base of the natural logarithm (≈ 2.71828)

- A = Compound terminal amount
- CI = Compound interest earned

3. Effective Annual Rate of Interest (ERI / EAR) and Depreciation

$$\text{Effective Annual Rate: } \text{ERI} = \left(1 + \frac{R}{m \cdot 100}\right)^m - 1$$

$$\text{Reducing Balance Depreciation: } A = P \left(1 - \frac{R}{100}\right)^N$$

Where:

- ERI = Effective rate of interest (true annualized yield in decimal)
- m = Number of compounding conversion periods per year
- P = Original historical cost of the asset
- R = Annual rate of depreciation (%)
- N = Operational lifespan / age in years
- A = Written Down Value (WDV) or residual scrap value

4. Doubling Period Approximations

$$\text{Exact Limit (Continuous): } T_{\text{exact}} = \frac{\ln 2}{r} \approx \frac{0.6931}{r} = \frac{69.3}{R}$$

$$\text{Rule of 72: } T_{\text{Rule of 72}} \approx \frac{72}{R}$$

$$\text{Rule of 69: } T_{\text{Rule of 69}} \approx 0.35 + \frac{69}{R}$$

Where:

- T = Number of years required for principal to double
- R = Annual percentage interest rate ($R\%$)
- r = Annual interest rate in decimal ($r = R/100$)

5. Annuity Cash Flows: Future Value and Present Value

$$\text{Ordinary Annuity Future Value: } \text{FV} = A \cdot \text{CVAF}(R, n) = A \left[\frac{(1+r)^n - 1}{r} \right]$$

$$\text{Present Value of a Lump Sum: } \text{PV} = \frac{A}{(1+r)^n} = A \cdot \text{PVF}(r, n)$$

$$\text{Ordinary Annuity Present Value: } \text{PV} = A \cdot \text{PVAF}(R, n) = A \left[\frac{1 - (1+r)^{-n}}{r} \right]$$

$$\text{Annuity Due Present Value: } \text{PV}_{\text{due}} = \text{PV}_{\text{ord}} \times (1+r) = A \left[\frac{1 - (1+r)^{-n}}{r} \right] (1+r)$$

Where:

- A = Equal periodic cash payment / installment

- r = Periodic interest or discount rate ($R/100$)
- n = Total number of cash flow installments / conversion periods
- $CVAF(R, n)$ = Compound Value Annuity Factor
- $PVF(r, n)$ = Present Value Factor $((1 + r)^{-n})$
- $PVAF(R, n)$ = Present Value Annuity Factor
- $(1 + r)$ = Advance compounding factor for payments at beginning of period (annuity due)

6. Perpetuities, Finite Growing Annuity, and Sinking Funds

$$\text{Constant Perpetuity: } PV = \frac{C}{r}$$

$$\text{Growing Perpetuity: } PV = \frac{C_1}{r - g} \quad (r > g)$$

$$\text{Finite Growing Annuity: } PV = \frac{C_1}{r - g} \left[1 - \left(\frac{1 + g}{1 + r} \right)^n \right] \quad (r \neq g)$$

$$\text{Ordinary Sinking Fund Deposit: } A = \frac{FV}{CVAF(R, n)} = FV \left[\frac{r}{(1 + r)^n - 1} \right]$$

$$\text{Sinking Fund Annuity Due Deposit: } A_{\text{due}} = \frac{A_{\text{ord}}}{1 + r} = \frac{FV}{CVAF(R, n) \times (1 + r)}$$

Where:

- C = Constant periodic perpetual cash inflow
- C_1 = Cash inflow generated at the end of Period 1
- r = Periodic discount rate ($R/100$)
- g = Constant compound growth rate of periodic cash flows
- n = Total number of payment periods
- FV = Target reserve accumulation sum required at maturity
- A = Periodic sinking fund contribution

7. Continuous Exponential Growth and Decay Models

$$\text{Continuous Growth Model: } n(t) = n_0 e^{kt} \quad (k > 0)$$

$$\text{Continuous Decay Model: } n(t) = n_0 e^{-kt} \quad (k > 0)$$

$$\text{Rate Constant Calibration: } k = \frac{1}{T} \ln \left(\frac{n_{\max}}{n_{\min}} \right)$$

Where:

- $n(t)$ = Modeled quantity / price impact level at elapsed time t
- n_0 = Initial quantity at baseline time $t = 0$
- k = Continuous rate constant ($k > 0$)
- T = Calibration interval between boundary values $[n_{\min}, n_{\max}]$

Chapter 2: Valuation of Financial Instruments

8. Security Yield Metrics and Holding Period Return

$$\text{Current Yield} = \frac{\text{Annual Dividend / Coupon}}{P_0} \times 100$$

$$\text{Dividend Yield (dY)} = \frac{\text{DPS}}{P_0} \times 100$$

$$\text{Holding Period Return (HPR)} = \frac{D_t + \Delta P}{P_1} = \frac{D_t + (P_t - P_1)}{P_1}$$

$$\text{Earnings Yield} = \frac{\text{EPS}}{P_0} \times 100$$

Where:

- P_0 = Current prevailing market purchase price of the share/security
- DPS = Annual dividend per share
- HPR = Total rate of return realized over the investment horizon
- D_t = Cash dividend received during the planned holding period
- P_1 = Initial purchase price paid at acquisition
- P_t = Terminal market price realized at liquidation
- ΔP = Capital appreciation or depreciation ($P_t - P_1$)
- EPS = Earnings per share

9. General Dividend Discount Valuation Models (DDM)

$$\text{Zero-Growth Model (Perpetual): } P_0 = \frac{D}{K_e}$$

$$\text{Finite 2-Year Holding Horizon: } P_0 = \frac{D_1}{1 + K_e} + \frac{D_2 + P_2}{(1 + K_e)^2}$$

$$\text{General Infinite DDM: } P_0 = \sum_{t=1}^{\infty} \frac{D_t}{(1 + K_e)^t}$$

$$\text{Gordon Constant Growth DDM: } P_0 = \frac{D_1}{K_e - g} = \frac{D_0(1 + g)}{K_e - g} \quad (K_e > g)$$

Where:

- P_0 = Theoretical intrinsic market price per share today
- D = Constant perpetual annual dividend per share
- D_1, D_2, D_t = Expected future dividend per share at the end of year 1, 2, and t
- D_0 = Baseline dividend per share currently paid
- P_2 = Projected terminal market price at the end of Year 2
- K_e = Required rate of return of equity investors / cost of equity capital
- g = Constant perpetual annual compound growth rate in dividends ($g < K_e$)

10. Gordon's Dividend Capitalization Model with Endogenous Growth

$$\text{Valuation Equation: } P_0 = \frac{\text{EPS}_1(1-b)}{K_e - b \cdot r} = \frac{D_1}{K_e - g}$$

$$\text{Endogenous Growth Rate: } g = b \times r$$

Where:

- P_0 = Theoretical market price per share (MPS)
- EPS_1 = Expected earnings per share for the upcoming period
- b = Retention ratio (fraction of earnings retained within the firm, $0 \leq b \leq 1$)
- $(1-b)$ = Dividend payout ratio (D_1/EPS_1)
- K_e = Cost of equity / capitalization rate
- r = Internal rate of return on reinvested corporate earnings (ROE)
- $g = b \cdot r$ = Endogenous growth rate of dividends and earnings

Payout Optimization Policy Rules:

Firm Category	Condition	Optimal Payout	Theoretical Dynamic
Growth Firm	$r > K_e$	NIL (0%)	Maximum retention ($b = 1$) maximizes MPS
Normal Firm	$r = K_e$	Indifferent	MPS is identical across all payout levels
Declining Firm	$r < K_e$	100%	Full distribution ($b = 0$) maximizes MPS

11. Walter's Valuation Formula and Firm Capitalization

$$\text{Market Price Per Share: } P = \frac{D + \frac{r}{k}(E - D)}{k}$$

$$\text{Total Market Value of Firm: } V = N \times P$$

Where:

- P = Theoretical market price per share (MPS)
- D = Dividend per share paid ($\text{DPS} = \text{EPS} \times \text{Payout Ratio}$)
- E = Earnings per share (EPS)
- $(E - D)$ = Retained earnings per share
- r = Internal rate of return on investment earned by the company
- k = Cost of capital / capitalization rate
- $\frac{r}{k}(E - D)$ = Capitalized market value of the earnings retained
- N = Total number of equity shares outstanding
- V = Aggregate market valuation of the firm

Payout Optimization Policy Rules:

Firm Category	Condition	Optimum Payout	Share Price Dynamic
Growth Firm	$r > k$	0%	MPS decreases as dividend payout increases
Normal Firm	$r = k$	Indifferent	MPS is invariant to payout choice
Declining Firm	$r < k$	100%	MPS increases as dividend payout increases

12. Modigliani–Miller (MM) Dividend Irrelevance Model

$$\text{Current Share Valuation: } P_0 = \frac{D_1 + P_1}{1 + K_e}$$

$$\text{Period-End Share Price: } P_1 = P_0(1 + K_e) - D_1$$

$$\text{External Financing Deficit: } \Delta M = I - (E - n \cdot D_1)$$

$$\text{New Shares to be Issued: } m = \Delta n = \frac{\Delta M}{P_1} = \frac{I - (E - n \cdot D_1)}{P_1}$$

$$\begin{aligned} \text{Total Market Value Invariant: } V_1 &= (n + m)P_1 = (n + \Delta n)P_1 \\ &= nP_0(1 + K_e) + I - E \end{aligned}$$

Where:

- P_0 = Current prevailing market price per share at beginning of period
- P_1 = Market price per share at the end of the period
- D_1 = Dividend per share declared/distributed at the end of the period
- K_e = Rate of capitalization / cost of equity capital appropriate to risk class
- I = Total capital investment budget required for the period
- E = Total net income (earnings) of the firm during the period
- n = Number of existing equity shares outstanding at beginning of period
- nD_1 = Aggregate dividend distribution to existing shareholders
- ΔM = External equity financing deficit to be raised
- $m = \Delta n$ = Number of newly issued equity shares
- V_1 = Total aggregate market valuation of the firm at year end